In 1960, SBI Chairman P.C. Bhattacharya told Parekh that he had received a semi-public proposal from Oil India asking him to arrange long-term finance of ₹30 crore. The funds were required to lay an oil pipeline which would move 3 million tonnes of crude oil per year from Duliajan in Assam to the Barauni refinery in Bihar. He asked Parekh to organize this underwriting issue. This was the biggest public issue of debentures at the time. He was assured that the Government of India would be willing to subscribe to any shortfall in the issue.

Parekh examined Oil India's proposal and visited Guwahati to see the works where the pipeline laying work had already begun. With the help of various financial institutions, banks, and insurance companies, he succeeded in raising ₹20 crore with the balance being taken up by the government. In fact on the day of the public issue, hostilities broke out between India and China but luckily it proved to be a short-lived affair and everything went according to schedule. Parekh had provided for redemption in five equal installments, starting after ten years and by 1975 the issue was also redeemed.[25]

Underwriting and Merchant Banking Services

One of the main factors motivating the formation of ICICI was the lack of an active capital market in India, particularly for new issues. ICICI perceived its role in the new issues market as one of providing underwriting support not only for existing companies with proposals for fresh issues of equity and debenture capital but also extending such assistance to new companies placing their shares in the market for the first time. In the first five years of its operations, ICICI underwrote shares and debentures worth ₹8.30 crores. As a part of its underwriting obligations, it had to take up shares and debentures of ₹2.04 crores.

Underwriting is an essential function of development banks for building up and widening the investment market. It cannot be shirked even if it entails heavy risks and a large number of new issues are by companies promoted by first-timers to industry. The risk carries with it also the promise of profit, as can be seen from ICICI's operations.

The average annual return on ICICI's total share portfolio by way of dividend was in the range of 4 percent. Taking dividend incomes and capital